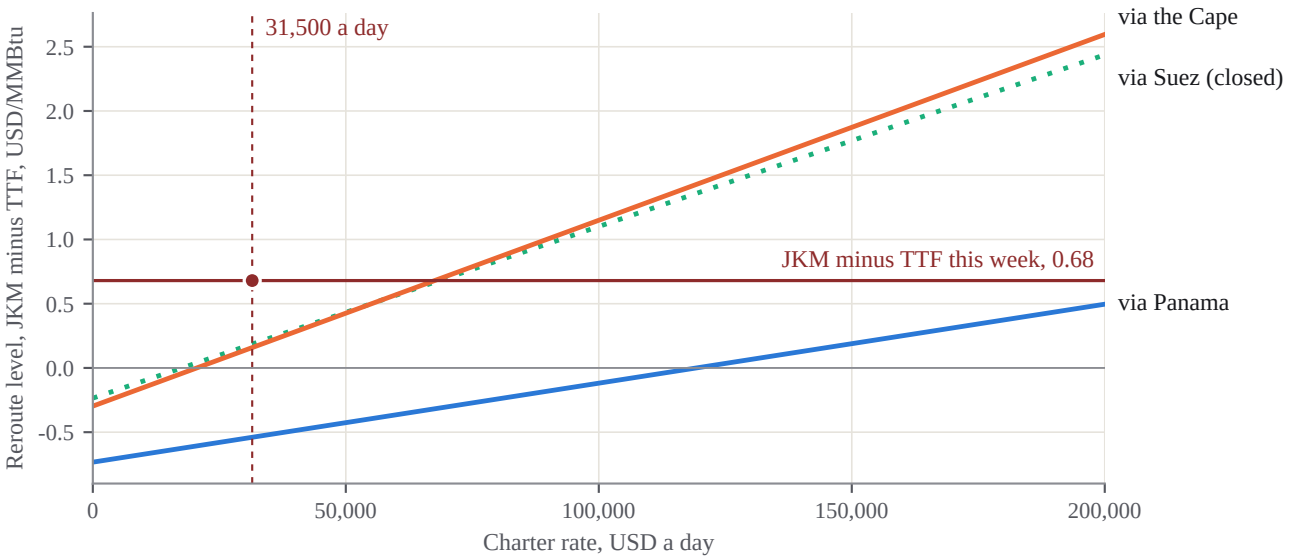
When a US Gulf LNG cargo pays to go east

JKM is 0.68 USD/MMBtu above TTF. At 31,500 USD a day, the last charter rate reported, a cargo loaded at Sabine Pass pays to go to Japan instead of Rotterdam above a spread of -0.54 via Panama and 0.16 via the Cape of Good Hope, so the arb is open on both routes.

The levels are this low because a cargo delivered to Northwest Europe sells 1.67 under TTF (ACER, to 27 October 2026): without that discount they would be 1.13 and 1.83. Each 10,000 USD a day on the charter rate adds 0.06 to the Panama level and 0.14 to the Cape level, because the Cape adds 53 days to the round trip and Panama 23. With the ship already paid for the levels are -0.73 and -0.30.

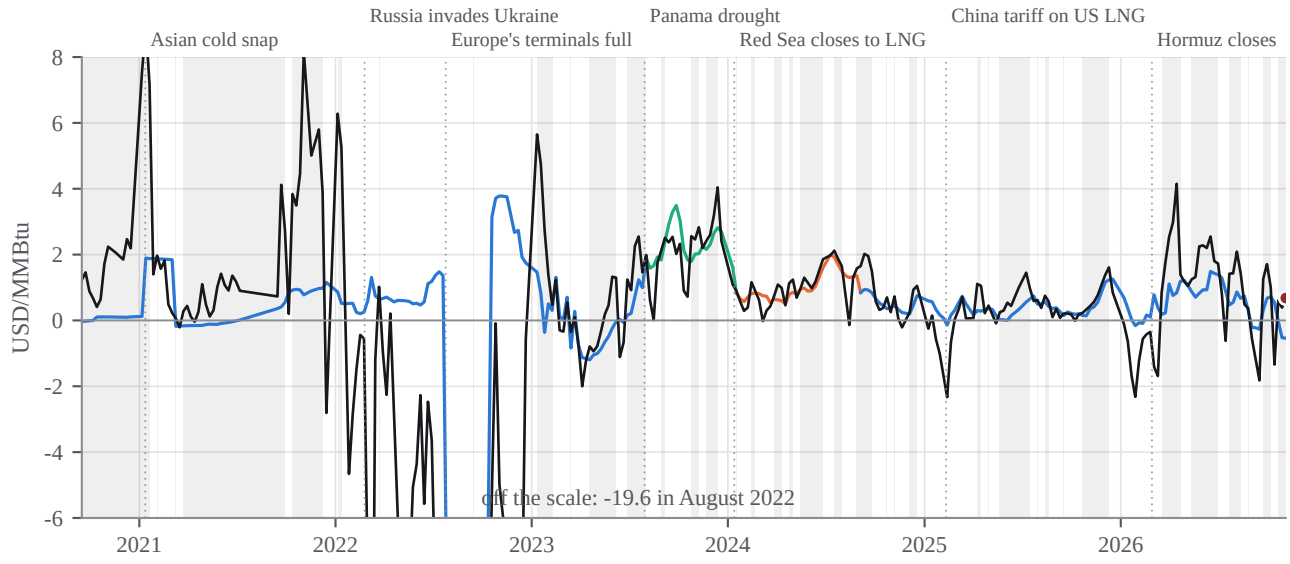
Chart 1. The longer the route, the faster its reroute level rises with the charter rate



Reroute level by charter rate, USD/MMBtu	*ship paid for, 0*	*low, 26,500*	*central, 43,250*	*high, 64,750*	*arb closes above*
via Panama	-0.73	-0.57	-0.47	-0.34	229,904 USD a day
via Suez (closed)	-0.24	0.12	0.34	0.63	68,492 USD a day
via the Cape	-0.30	0.09	0.33	0.64	67,551 USD a day

Chart 2. The spread cleared the level in 149 of 288 weeks, most often in 2021 and least in 2022

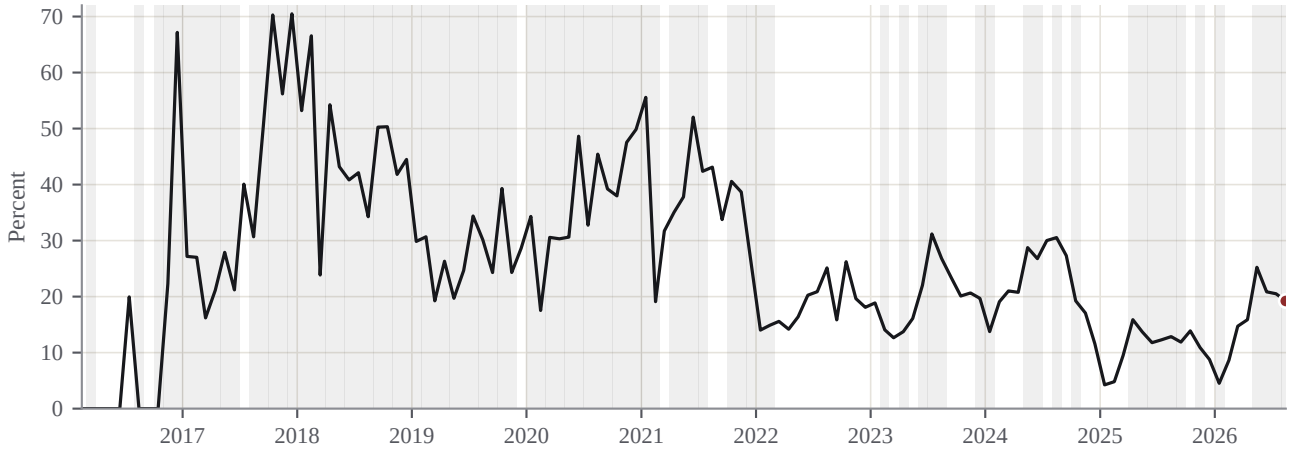
JKM minus TTF (black) and the reroute level of the cheapest open route at the reported charter rate (coloured by route). Shaded: the arb is open. With the ship already paid for it was open in 204 weeks.



Did cargoes follow?

After a month with the arb open, 30 percent of US LNG left for Japan, South Korea, China and Taiwan; after a closed month, 17 percent (120 months of the Department of Energy's cargo record, the rule fixed before the result was computed). Since 2022 the gap is 1 point: Europe's pull, term contracts and China's tariff on US LNG have kept Asia's share low whatever the arb.

Chart 3. Share of US LNG sent to JKM markets by departure month. Shaded: the arb was open the month before



The same cargo answers two more questions

When does the arb close on the cargo itself? A buyer lifts a cargo when its best netback covers 115 percent of Henry Hub. From February to September 2020 a cargo sold in Europe did not, and about 171 US cargoes were cancelled.

What is a Panama slot worth? Panama saves 30 days on the Cape. At this week's charter rate and gas price a ship can pay 2.69 million USD above the tariff for its two transits, or wait 9.6 days at each, before the Cape is the cheaper way east.

Method

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loaded     = capacity x fill x MMBtu per m3          174,000 m3 x 98.5 percent x 23 = 3,941,970 MMBtu
delivered  = loaded - 0.085 percent a day x round trip days
cost       = hire x round trip days + ports + canal tolls and fees + EU ETS (Europe) + financing
netback    = (DES price x delivered - cost) / loaded      Europe: TTF + DES discount. Asia: JKM
S*(route)  = the JKM minus TTF spread at which netback(Asia, route) = netback(Europe)
H*(route)  = the charter rate at which the two netbacks are equal at today's prices
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Hire runs for the round trip, and the gas that boils off on every day of it is the ship's fuel: the convention of the Spark30S freight assessment, whose worked example the model reproduces to the dollar. This week: Gate 26.4 days and a netback of 28.61; Panama 49.6 days and 29.78; the Cape 79.6 days and 29.10, in USD per MMBtu loaded.

Caveats

• The charter rate is one published assessment (Spark30S Atlantic), reported on 2 October 2026 and held since; a real fixture differs.
• Europe's DES discount is ACER's assessment averaged over 20 days; before 2023 it is an assumption.
• Panama is priced at the tariff with a booked slot. Slots are auctioned and their price is not published.
• Prices are weekly averages of front months, which can name different delivery months; a cargo is sold further out.
• Flows show association, not cause. Nothing here is a forecast or a trading signal.

Sources: U.S. Energy Information Administration (weekly JKM and TTF, credited to Bloomberg Finance L.P.; Henry Hub), ACER (DES LNG assessments), U.S. Department of Energy (cargoes), Spark Commodities as reported by LNG Prime (charter rates), Panama Canal Authority and Suez Canal Authority (tariffs), Federal Reserve Board, Federal Reserve Bank of New York, European Commission and DEHSt, METI, World Bank. Every figure and its source: the Method view of the site.